

# Exploring the implications of integrated reporting on organisational reporting practice

## Evidence from highly regarded integrated reporters

Integrated  
reporting

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Abdifatah Ahmed Haji and Dewan Mahboob Hossain  
*Department of Accounting, International Islamic University Malaysia,  
Kuala Lumpur, Malaysia*

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### Abstract

**Purpose** – The purpose of this paper is to examine “how” the adoption of integrated reporting (IR), and the embedded multiple capitals framework, has influenced organisational reporting practice. In particular, the paper examines how companies report and integrate multiple capitals in various organisational reporting channels following the introduction of an “apply or explain” IR requirement in South Africa.

**Design/methodology/approach** – Using a qualitative case study approach based on discourse analysis, this paper examines various organisational reports including integrated reports, standalone sustainability reports, websites and other online materials of highly regarded, award-winning, integrated reporters in South Africa over a four-year period (2011–2014), following the introduction of IR requirement. The authors draw five impression management techniques, namely, rhetorical manipulation, thematic manipulation, selectivity, emphasis in visual presentation and performance comparisons to explain disclosure and integration of multiple capitals.

**Findings** – The authors find that companies are increasingly conforming to reporting language espoused in existing IR guidelines and multiple capital frameworks over time. For instance, it is found that the research cases have increasingly used specific grammars in existing IR guidelines such as “capitals” and “material” issues, with companies acknowledging the “interdependencies” and “trade-offs” between multiple capitals. Companies have also started to recognise that the capitals are subject to “increases, decreases, and transformations” over time. However, the disclosures are generic, rather than company-specific, and lack substance, often framed in synthetic charming aimed to showcase adoption of IR practice. In addition, the current discourse on multiple capital disclosures is one of the defending, even promoting, organisational reputation, rather than recognising how organisational actions, or inactions, impact multiple capitals. The paper concludes that the emerging IR practice, and the embedded multiple capital framework, has not really improved the substance of organisational reports.

**Practical implications** – The results of this study have a number of implications for regulatory authorities, public and private sector organisations as well as academic researchers. For regulatory authorities, the results inform relevant regulatory authorities how IR practice is taking shape over time, particularly within the context of a regulatory setting. Second, the empirical analyses, which focused on highly regarded, award-winning, integrated reporters, draw the attention of regulatory bodies as well as



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users of corporate reports to concerns related to a growing number of rating agencies of organisational reports. Finally, for academic researchers, the theoretical implications of this study is that, given the pervasive use of multiple impression management techniques in various organisational reports, the authors support the notion that corporate disclosure practices should be examined through the lens of multiple theoretical perspectives to enhance our understanding of the nature of organisational reporting practice.

**Originality/value** – This study provides a more focused preliminary empirical account of the implications of IR practice, and the embedded multiple capital frameworks, on the quality of organisational reporting practice following the adoption of mandatory IR requirement in South Africa.

**Keywords** South Africa, Value creation, Integrated reporting, Multiple capitals, Discourse analyses, Impression management theory

**Paper type** Research paper

## 1. Introduction

Organisational reporting practice continues to evolve from traditional financial reporting to environmental, social and governance considerations to, more recently, integrated reporting (IR) (King III, 2009; de Villiers *et al.*, 2014). Despite the changing landscape of the organisational reporting practice over the past four decades or so, the substance of organisational reports has largely remained the same, with companies producing a set of monotonous reports imbued with empty sustainability rhetoric (Milne and Gray, 2013; Williams and Adams, 2013). The IR agenda, which is highly advocated in South Africa's King III Code of Corporate Governance (2009) – and more recently King IV (2016) – as well as by the International Integrated Reporting Council (IIRC), promises to bring “shifts” in corporate reporting practice (IIRC, 2013a; Coulson *et al.*, 2015). In so doing, the IR agenda builds on prior developments in organisational reporting theory and practice, with a goal to bring together material financial and non-financial information through the lens of multiple capitals (i.e. financial, manufactured, intellectual, human, social and relationship and natural capital) (IIRC, 2013a). In short, the IR initiative is espoused as a “synthesis” of prior developments in various organisational reporting strands: triple bottom line and sustainability reporting being the *antithesis* of traditional financial reporting *thesis*. An increasing number of companies have so far adopted IR practice, with the latest survey reporting that over 1,000 companies worldwide have implemented IR (IIRC, 2016).

However, a number of academic scholars are critical about the value of IR proposals, in particular, the continued emphasis on “value to investors” and business case approach as well as relegation of less powerful stakeholder groups in current IIRC proposals (Milne and Gray, 2013; Brown and Dillard, 2014). Milne and Gray (2013, p. 20), for instance, view the IIRC's proposal as “a masterpiece of obfuscation and avoidance of any recognition of the prior 40 years of [social and environmental] research and experimentation” which, despite its claims for sustainable development, is “exclusively investor focused and has nothing substantive about either accountability or sustainability”. Consistent with this view, early empirical studies document that the adoption of IR practice has not really improved the substance of organisational reports (Wild and van Staden, 2013; Melloni, 2015), even in the context of mandatory environment (Solomon and Maroun, 2012; Setia *et al.*, 2015; IIRC, 2016; Ahmed Haji and Anifowose, 2016).

Mindful of the division within academia on the actual worth of the emerging IR agenda, the objective of this study is to examine how the adoption of IR practice, and the embedded multiple capitals framework, has influenced organisational reporting practice. In particular, we first examine how highly regarded, award-winning, South African companies report and integrate multiple capitals in various organisational reporting channels following the introduction of an “apply or explain” IR requirement in South Africa. Existing research has so far explored “whether” and to “what” extent the multiple capitals are reported (Solomon and Maroun, 2012; Wild and van Staden, 2013; Setia *et al.*, 2015). By way of thematic-based discourse analyses of various organisational reporting channels (e.g. integrated reports, standalone sustainability reports, websites and other online materials), this study explores “how” companies report and integrate multiple capitals following the adoption of IR practice. Second, drawing from five impression management techniques, namely, *rhetorical manipulation, thematic manipulation, selectivity, emphasis in visual presentation and performance comparisons* (Brennan *et al.*, 2009), we analyse the linguistic and semiotic choices underpinning multiple capital disclosures. In so doing, we closely examine specific grammars and emerging themes on multiple capital disclosures. Third, we explore how companies link and report multiple capitals within the context of “material” issues and value creation/destruction process. Given the underlined interdependencies and potential trade-offs between multiple capitals in existing IR guidelines, we explore how companies discuss organisational value creation/destruction discourses within the context of multiple capitals following the adoption of IR practice.

Our findings indicate that companies are increasingly conforming to reporting language espoused in existing IR guidelines and multiple capital frameworks over time (Forum for the Future, 2009; IIRC, 2013a). For instance, we find that the research cases have increasingly used specific grammars in existing IR guidelines such as “capitals” and “material” issues, with companies acknowledging the “interdependencies” and “trade-offs” between multiple capitals. Companies have also started to recognise that the capitals are subjected to “increases, decreases, and transformations” over time. However, upon closer inspection, the disclosures are generic, rather than company-specific, and lack substance, often framed in synthetic charming aimed to showcase adoption of IR practice. In essence, there is a palpable disintegration between different capitals, or components of a capital in the integrated reports as well as other reporting platforms. In addition, the current discourse on multiple capital disclosures is one of the defending, even promoting, organisational reputation, rather than recognising how organisational actions, or inactions, impact multiple capitals, particularly capitals of intrinsic value. Instead, companies continue to use multiple impression management techniques to exaggerate positive outcomes while obscuring, even dismissing, negative trade-offs between the capitals. Finally, we observe disclosure of multiple capitals is largely limited to the *integrated reports* and is uncommon in other organisational reporting channels. Thus, the multiple capitals framework is not viewed as an overall organisational reporting philosophy but is seen as a specific metaphor in *integrated reports*. We conclude that, despite some cursory references to multiple capitals and wider value creation, the adoption of IR practice, and the embedded multiple capitals framework, has not really improved the substance of organisational reports.

This study contributes to organisational reporting literature in several ways. First, at this early stage of the IR agenda, empirical research is limited. We provide initial empirical account of how (if at all) IR has shaped organisational reporting practice, particularly within the context of highly regarded integrated reporters. Second, the extant IR literature has so far explored “whether” and “what” aspects of IR practice (Wild and van Staden, 2013; Setia *et al.*, 2015). Using a qualitative case study approach, this study adds to existing literature by examining “how” multiple capitals are reported and integrated in various organisational reporting platforms. Third, we provide evidence that companies, despite calls to balance “positive” and “negative” disclosures in IR guidelines (King III, 2009; IIRC, 2013a), continue to use multiple impression management techniques to exaggerate positive information while ignoring negative outcomes following the adoption of IR practice. Therefore, the findings of this study contribute to impression management theory. Unlike prior studies, which have largely used impression management theory to explain less regulated narrative disclosures (Neu *et al.*, 1998; Brennan *et al.*, 2009), we explore the implications of IR practice on organisational reporting practice through the lens of impression management theory. It is our view that the nature of integrated reports, which in essence combine both highly and less regulated disclosures, presents unique setting to examine how companies use impression management strategies, particularly within the context of highly regarded integrated reporters in a mandatory context. Finally, in departure from prior studies, which have mainly focused on integrated reports, this study examines various reporting channels to explore the implications of IR, and the embedded multiple capitals, frameworks on organisational reporting practice.

The remainder of the paper proceeds as follows. The ensuing section reviews relevant IR studies and highlights gaps in the literature. Next, we discuss current multiple capitals frameworks and research theory in Section 3. Section 4 details research methods while the penultimate section presents the research findings. Section 6 concludes the paper with discussion of research implications and suggestions for future research directions.

## 2. Literature review

IR research is still at “embryonic” stage (de Villiers *et al.*, 2014). However, the subject has received, and continues to receive, significant attention from academic researchers as well as professional bodies (PwC, 2013; Wild and van Staden, 2013; Ernst and Young, 2013, 2014; Higgins *et al.*, 2014; Veltri and Silvestri, 2015; Setia *et al.*, 2015). Understandably at this early stage, majority of the extant IR literature is normative in nature (Abeysekera, 2013; de Villiers *et al.*, 2014; Brown and Dillard, 2014; Haller and van Staden, 2014; Flower, 2015; Adams, 2015).

One stream of the normative studies promotes specific reporting templates and guideposts that incorporate the central ideas of existing IR guidelines (Abeysekera, 2013; Haller and van Staden, 2014; Adams, 2015). Such reporting templates and guideposts include, *inter alia*, valued-added statements and use of narratives to conceptualise and establish linkages between financial and non-financial information (Abeysekera, 2013; Haller and van Staden, 2014). Within the normative studies, there is also an attempt to highlight the historical background of IR initiative and its global footprint (de Villiers *et al.*, 2014). These useful insights notwithstanding, the normative studies provide limited or no empirical account of IR practice.

Another stream of the normative studies on IR is critical about the actual worth of the IR agenda, in particular, its stated aim, scope and purported benefits (Brown and Dillard, 2014; Flower, 2015), while other academic scholars welcome the IR initiative (Adams, 2015; Coulson *et al.*, 2015). To some, IR is a “new paradigm” which has the potential to shape and improve organisational reporting practice (Adams, 2015; Coulson *et al.*, 2015). To others, it is maybe a new paradigm, popular even, but a wrong paradigm (Milne and Gray, 2013; Brown and Dillard, 2014; Flower, 2015). The criticisms of IR mainly focus on current IR proposals’ “value to investors” emphasis and the continued advocacy of a business case approach (Milne and Gray, 2013; Brown and Dillard, 2014; Flower, 2015), given the primary aim of an integrated report is to “explain to providers of financial capital how an organisation creates value over time” (IIRC, 2013a, p. 4). The critics maintain that IR, compared to prior organisational reporting initiatives (e.g. global reporting initiative [GRI]), is “remarkably regressive” (Milne and Gray, 2013, p. 25) and follows a “limited and one-sided approach” (Brown and Dillard, 2014, p. 1120). Based on the prior organisational reporting experience, particularly sustainability and triple bottom line reporting, where companies produce a set of symbolic reports with little or no substantive reporting, it is the view of several accounting scholars that IR proposals will only perpetuate current corporate reporting empty rhetoric (Milne and Gray, 2013; Flower, 2015).

In defence, the advocates of IR maintain that the criticisms are too much too early (Adams, 2015), and the mission is on course to achieve its aims (Gleeson-White, 2014). Coulson *et al.* (2015, p. 290), for instance, argue that the IR agenda is a “shift from a ‘financial capital market system’ to an ‘inclusive capital market system’ through recognition of multiple capitals and IR and thinking”. The proponents admit that there is always room for improvement, and that the IR frameworks will build on feedback from various stakeholder groups including the business community, users of information, academics and other relevant publics. The next section reviews early empirical studies on IR practice.

### 2.1 Emerging empirical studies

A growing number of empirical studies have explored IR practice internationally (PwC, 2013; Wild and van Staden, 2013; Higgins *et al.*, 2014; Stubbs and Higgins, 2014; Veltri and Silvestri, 2015; Robertson and Samy, 2015; Ahmed Haji and Anifowose, 2016). The empirical studies have mainly taken two approaches to investigate IR practice:

- (1) a *qualitative approach*, which undertakes an in-depth analysis; and
- (2) a *content analyses approach*, based on cross-sectional analyses of annual (integrated) reports.

Using in-depth interviews and case study research, the qualitative studies engage with early integrated reporters as well as key stakeholder groups (e.g. investors) to explore how IR is perceived and conceptualised (Stubbs *et al.*, 2014; Higgins *et al.*, 2014; Stubbs and Higgins, 2014; Robertson and Samy, 2015). This line of research reports that there is a “gap” between the *desired* IR (as prescribed in existing IR guidelines) and the *actual* practice (Stubbs *et al.*, 2014; Higgins *et al.*, 2014; Stubbs and Higgins, 2014; Robertson and Samy, 2015). For instance, Stubbs *et al.* (2014) observe, through interviews, that there is a significant gap between the information supplied by Australian firms and information required by investors. Similarly, Higgins *et al.* (2014), who interviewed 23

managers of early adopting Australian firms, submit that managers conceptualise IR as a “strategic story-telling” and “about meeting expectation”. In addition, [Steyn \(2014\)](#), in the South African context, finds that the primary motive to adopt IR is to enhance corporate “reputation” and organisational legitimacy rather than improve corporate accountability. [Stubbs and Higgins \(2014\)](#), again in Australia, share similar observations from their interviews with Australian sustainability, finance and communication managers. The authors argue that the adoption of IR, which is just incremental rather than radical, “has not necessarily stimulated new innovations in disclosure mechanisms” ([Stubbs and Higgins, 2014](#), p. 1068). In short, the empirical findings indicate that current IR practice is motivated by considerations other than organisational accountability and sustainability.

By way of content analyses, a growing number of empirical studies have examined specific, or multiple, capital disclosure practices in integrated reports following the adoption of IR practice ([Solomon and Maroun, 2012](#); [PwC, 2013](#); [Wild and van Staden, 2013](#); [Veltri and Silvestri, 2015](#); [Setia et al., 2015](#); [Melloni, 2015](#)). Using a sample of worldwide companies included in the pilot program of IIRC, [Wild and van Staden \(2013\)](#) and [Melloni \(2015\)](#) have explored multiple capital disclosure practices in the integrated reports. [Wild and van Staden \(2013\)](#) found that companies provide general and soft disclosures as opposed to hard and verifiable information, with majority of the companies reporting only four of the capitals, namely, financial, human, natural and social capitals. Similarly, [Melloni \(2015\)](#) observed that companies provide limited quantitative and forward-looking information, with relational capital dominating the integrated reports of companies included in the pilot program of IIRC.

In the South African context, both [Solomon and Maroun \(2012\)](#) and [Setia et al. \(2015\)](#), who have examined corporate disclosure practices before and after the adoption of IR practice in South Africa, found a significant increase in the amount of disclosures following the implementation of IR practice. More recently, [Ahmed Haji and Anifowose \(2016\)](#) have examined the trend of IR practice of South African companies. The authors found a significant increase in the application of IR guidelines by South African companies. However, the authors conclude that “the current IR practice [in South Africa] is largely ceremonial in nature aimed to acquire organisational legitimacy” ([Ahmed Haji and Anifowose, 2016](#), p. 192). In summary, studies in South Africa, consistent with international studies ([Wild and van Staden, 2013](#); [Melloni, 2015](#)), observe that integrated reporters follow the form rather the substance of existing IR guidelines ([Veltri and Silvestri, 2015](#)). In particular, the integrated reports remain “historical” as opposed to “forward-looking”, and the contents are still presented in “silos” ([PwC, 2013](#)).

The current study addresses three gaps in the existing literature. First, the extant literature has so far examined “whether” and “what” aspects of IR practice ([Solomon and Maroun, 2012](#); [Wild and van Staden, 2013](#); [Veltri and Silvestri, 2015](#); [Setia et al., 2015](#)). In departure from prior studies, this study provides a more focused assessment, than has previously been undertaken, on specific approaches companies use to report “multiple capitals” following the introduction of a mandatory IR requirement in South Africa. In particular, we examine “how” companies report and integrate multiple capitals in the context of organisational value creation/destruction narratives. Second, drawing from multiple impression management techniques, we explore, through discourse analyses, specific grammars used to report the emerging multiple capitals. In essence, we go beyond from “what” is disclosed to “how” it is disclosed. Our intention is to reveal the

actual nature of IR, and the embedded multiple capital disclosures, particularly within the context of highly regarded integrated reporters. Third, existing empirical studies have largely focused only on annual integrated reports to explore organisational reporting practices following the adoption of IR practice (Solomon and Maroun, 2012; Veltri and Silvestri, 2015; Setia *et al.*, 2015; Ahmed Haji and Anifowose, 2016). However, the IR agenda, and the embedded integrated thinking, is promoted as a wider organisational reporting philosophy which is supposed to bring “shift” in the traditional silo reporting and integrate various organisational reporting platforms (IIRC, 2013a). This study, therefore, examines various organisational reporting channels including integrated reports, standalone sustainability reports, websites, press releases and other online materials to observe how the adoption of IR has influenced organisational reporting practice.

### 3. Research framework

#### 3.1 Multiple capitals frameworks

The IIRC framework builds on recent projects that have proposed multiple capital frameworks, in particular *Sigma Project* (2003) and *Forum for the Future* (2009), which have initially identified five capitals (natural, social, human, manufactured and financial capital). The IIRC framework proposes six capitals, adding intellectual capital to existing multiple capital proposals (Coulson *et al.*, 2015). These proposals all recognise that organisations create value by using and creating broad base of multiple capitals. In particular, the proposed IIRC framework encourages integrated reporters to show interdependencies and trade-offs between the capitals in communicating organisational value creation to promote “accountability and stewardship for the broad base of capitals [...] and promote understanding of their interdependencies” (IIRC 2013a, p. 2). The natural process is that the capitals are subject to increases, decreases and transformations over the course of organisational reporting period, and so companies are required to report changes in the capitals as well as potential trade-offs between them. For instance, a decrease in the financial capital of a firm could have been the result of significant investments in human capital, intellectual capital and/or investments in renewable energy sources. In this case, the financial capital has been transformed into other capitals of intrinsic value:

The capitals are stocks of value that are increased, decreased or transformed through the activities and outputs of the organization. For example, an organization’s financial capital is increased when it makes a profit, and the quality of its human capital is improved when employees become better trained (IIRC, 2013a, p. 11).

One benefit of the proposed multiple capitals framework is that companies are able to consider and communicate how they create/ destroy “value” beyond economic value (Gleeson-White, 2014; Coulson *et al.*, 2015). However, the danger is that companies could misunderstand the nature of different capitals, potentially monetising capitals of intrinsic value, rather than economic value, such as human, social and natural resources (Barter, 2015). Therefore, given the term capital is predominantly conceptualised as money and other financial assets by accountants, use of the “capitals” metaphor can be problematic, potentially relegating human and natural resources of intrinsic value to money and financial assets (Barter, 2015; Coulson *et al.*, 2015). Hence, while the multiple capitals approach is potentially useful, there is a need to draw a clear distinction between capitals of intrinsic value, as represented by social, human and natural capitals,

and capitals of economic value such as financial, intellectual and manufactured capitals to avoid continuation of economic hegemony (Coulson *et al.*, 2015).

Nonetheless, the multiple capitals framework continues to receive a growing recognition from academic researchers (Gleeson-White, 2014; Setia *et al.*, 2015; Coulson *et al.*, 2015; Barter, 2015), practitioners (McElroy and Thomas, 2015) and the business community. In South Africa, an increasing number of companies such as Sasol, Royal Bafokeng Platinum Ltd, Standard Bank Group Ltd and Truworths International Ltd have adopted the multiple capitals framework in their integrated reports. Internationally, several companies including Coca-Cola HBC, Lawson, Banca Fideuram, Atlantia and Sime Darby (to name but only a few) are also embracing the capitals framework (Coulson *et al.*, 2015). These developments, notwithstanding, early empirical studies show that multiple capital disclosures are ceremonial rather than substantive (Setia *et al.*, 2015; Ahmed Haji and Anifowose, 2016), as the integrated reports “construct a discourse imbued with stakeholder accountability rhetoric” (Solomon and Maroun, 2012, p. 51). However, given the newness of IR practice, little is still known about the implications of IR, and the embedded multiple capitals frameworks, on organisational reporting practice. Building on these developments, we examine, through discourse analyses, “how” highly regarded, award-winning South African companies report and integrate multiple capitals in various organisational reporting channels. In so doing, we draw from impression management theory to explain organisational reporting practice following the introduction of an “apply or explain” IR requirement in South Africa. The ensuing section further discusses the research theory.

### 3.2 *Impression management theory*

**Impression management theory**, which has its roots in social psychology literatures, propounds that individuals and organisations attempt to control the perceptions of others to gain specific advantage. In particular, impression management is defined as the “conscious or unconscious attempt to control images that are projected in real or imagined social interactions” (Schlenker, 1980, p. 6). Accounting researchers have predominantly used impression management theory to explain organisational reporting practice (Neu *et al.*, 1998; Brennan *et al.*, 2009; Melloni, 2015). Brennan *et al.* (2009), in their review, have identified seven impression management approaches used in prior studies. These are:

- (1) *syntactic manipulation*, which is by far the most popular and is often used in form-orientated studies;
- (2) *rhetorical manipulation*, based on analyses of linguistic choices and the use of rhetorical language to exaggerate positive information and obscure negative outcomes;
- (3) *attribution of organisational outcomes*, use of impression management techniques to link positive results to managerial decisions and negative outcomes to outside factors;
- (4) *thematic manipulation*, simple illustrations and preferences given to positive/negative categories;
- (5) *selectivity*, pervasive selection of positive data and narratives;
- (6) *emphasis in visual presentation*, particular emphasis placed on a piece of data, repetition of narratives and use of adjectives to reinforce selected themes; and

- (7) *performance comparisons*, selection of specific comparisons, benchmarks and trends that display organisational performance most favourably.

Brennan *et al.* (2009) cover these seven approaches in detail, and we do not intend to repeat them here. In a nutshell, however, organisations use symbolic disclosures that construct a positive framing of the company to acquire/maintain organisational legitimacy (Neu *et al.*, 1998), with companies often using impression management techniques to enhance corporate reputation (Highhouse *et al.*, 2009). In so doing, companies use less regulated narrative disclosures to exaggerate positive information while obscuring, even dismissing or underplaying, negative information (Brennan *et al.*, 2009). Drawing from four impression management approaches, namely, thematic manipulation, selectivity, emphasis in visual presentation and performance comparisons, Brennan *et al.* (2009) examine press releases disclosures of UK companies. Brennan *et al.* (2009, p. 823) conclude that “in practice multiple impression management methods are used simultaneously” to advance specific organisational objectives.

Within the context of IR practice, Melloni, 2015, who examined intellectual capital disclosures (ICD) practices of worldwide companies included in the IIRC pilot program, found impression management techniques, *thematic manipulation* in particular, are used to report ICD in the integrated reports. Melloni concludes that “firms use ICD opportunistically to advance their corporate image” (Melloni, 2015, p. 675). Several other empirical studies have documented that current IR practice is symbolic (Solomon and Maroun, 2012; Wild and van Staden, 2013; Veltri and Silvestri, 2015; Setia *et al.*, 2015), with South African companies, in particular, adopting “a legitimisation strategy based on symbolic management when preparing integrated reports” (Setia *et al.*, 2015, p. 397).

In this study, we draw from impression management theory to explain the emerging multiple capital disclosure practices in various organisational reports following the adoption of mandatory IR requirement. Our intention is to uncover specific grammars and emerging themes used in organisational reports on the interdependencies and trade-offs between multiple capitals, or components of a capital. In so doing, we undertake critical discourse analyses to examine the content of various organisational reports. To make sense of the approaches used to report multiple capitals, we specifically draw from five impression management approaches, namely, rhetorical manipulation, thematic manipulation, selectivity, emphasis in visual presentation and performance comparisons (Brennan *et al.*, 2009). Our choice of impression management theory, and these five impression management strategies in particular, is largely influenced by the nature of IR, and multiple capital disclosures, given the combination of both financial and non-financial aspects of organisational performance. In addition, we find impression management theory particularly useful in explaining how companies report and integrate the emerging multiple capitals framework for two reasons.

First, unlike previous organisational reporting norms, existing IR guidelines explicitly encourage companies to balance “positive” and “negative” information to improve the quality of corporate reports (King III, 2009; IIRC, 2013a). For example, King III (2009, p. 49) states that the “board should ensure that the positive and negative impacts of the company’s operations and plans [...] are conveyed in the integrated report”. Similarly, the IIRC (2013a, p. 5) emphasises that “an integrated report should include all material matters, both positive and negative, in a balanced way and without material error”. In the context of multiple capitals, the IIRC framework urges companies

to give “equal consideration to both increases and decreases in the capitals, both strengths and weaknesses of the organisation, both positive and negative performance, etc” (IIRC, 2013a, p. 22). As a result, considering these local and international calls for “balanced” reporting, we examine how the adoption of IR practice has influenced organisational reporting practice, particularly within the context of highly regarded integrated reporters in a regulatory IR environment. Second, unlike traditional annual reports where financial and non-financial information are presented in silos, the IR agenda promises to integrate both reporting strands. Therefore, given organisational tendency to use impression management techniques in less regulated narrative disclosures (Brennan *et al.*, 2009), the nature of integrated reports, which in essence combine both highly and less regulated disclosures, presents unique setting to examine how companies use impression management techniques following the adoption of IR practice.

#### 4. Research methodology

To reiterate, the objective of this study is to examine how the adoption of IR practice, and the embedded multiple capital framework, has influenced organisational reporting practice following the introduction of an “apply or explain” IR requirement in South Africa. Using qualitative case study approach based on discourse analyses, we specifically examine how the multiple capitals are reported and integrated in various organisational reporting channels following the adoption of IR practice. In doing so, we explore how highly regarded, award-winning, South African companies report the interdependencies and trade-offs between multiple capitals, or components of a capital within the context of organisational value creation/destruction process.

##### 4.1 Selection of research cases

Our study is located within the South African reporting context, where IR is required on an “apply or explain” basis for all companies listed on Johannesburg Securities Exchange (JSE). Through *King III Code of Corporate Governance* (2009), the JSE requires all listed companies to produce an integrated report, or else explain reasons of not doing so, since 1 March 2010. The IR requirement, which builds on a chain of recent corporate governance reforms (King II, 2002), has its roots in South Africa’s quest to fight against corruption, social and economic inequalities that go back to the apartheid era (King III, 2009; de Villiers *et al.*, 2014). For instance, King II highly advocated for sustainability reporting and embedded it in the corporate governance requirements. However, King III (2009), while continuing to support the notion of sustainability reporting, requires sustainability reporting to be integrated with financial reporting. The objective of IR is to “enable stakeholders to assess the ability of an organisation to create and sustain value over the short-, medium- and long-term” (Integrated Reporting Committee of South Africa; IRC, 2011, p. 1). King III (2009, p. 12) argues that IR has internal and external benefits:

By issuing integrated reports, a company increases the trust and confidence of its stakeholders and the legitimacy of its operations. It can increase the company’s business opportunities and improve its risk management. By issuing an integrated report internally, a company evaluates its ethics, fundamental values, and governance, and externally improves the trust and confidence which stakeholders have in it.

In line with these developments, we explore the implications of IR practice on organisational reporting practice following the introduction of IR requirement in South Africa. In particular, using discourse analyses to obtain richer insights, we examine how companies report the interdependencies and trade-offs between the capitals. Given the nature of discourse analyses in terms of searching for “meaning” and “context” of the issue at hand as well as going beyond from “what” is reported to “how” it is reported (Beattie *et al.*, 2004; Powell, 2007), we have limited our analyses to five companies.

Our selection of the sample companies was informed and guided by case study research as well as the nature of discourse analyses. In particular, our choice of the sample companies was influenced by three factors. First, all five companies have shown illustrations, albeit at a general level, of the research questions of this study. For example, we have conducted preliminary screening exercise on the integrated reports of larger sample of South African companies to explore IR practice, and in particular, how companies are embracing existing IR guidelines and multiple capital frameworks. The selected cases for this study have shown explicit awareness on multiple capitals framework based on IR guidelines as well as multiple capital frameworks in their latest integrated reports (Sigma Project, 2003; King III, 2009; Forum for the Future, 2009). The following extract from the integrated report of one of the selected cases shows awareness on multiple capital frameworks:

Our ability to create value depends on certain forms of capital, how we use them and our impact on them. We apply the capitals model, initially developed by Forum for the Future, in managing and assessing our ability to create value over time. Our report aims to explain how we use and affect the capitals. We recognise that the capitals are interrelated and fundamental to the long-term viability of our business. Intellectual capital is integrated into the human, financial and manufactured capitals as this better reflects the nature of our business as a financial services organisation (Standard Bank, Integrated Report, 2013, p. 2).

Hence, the cases were not selected at random, but rather, were selected after publicly revealing the issues of concern in their integrated reports. This selection approach is appropriate for case analyses research (Eisenhardt, 1989; Chenhall and Langfield-Smith, 1998; Powell, 2007) and is consistent with recent IR studies (Higgins *et al.*, 2014).

Second, the selected cases were *consistently* in the top five of Ernst & Young’s Excellence in Integrated Reporting Awards winners for the years 2013 and 2014 (Ernst and Young, 2013, 2014). The yearly Ernst & Young’s Excellence in Integrated Reporting Awards is awarded to the best integrated reporters in South Africa. These companies are therefore highly regarded as “leaders” in the IR initiative and are likely to set the agenda for the rest. Therefore, analyses of their IR practice would enhance our understanding of how IR practice has influenced organisational reporting practice. Finally, the selected firms belong to environmentally and non-environmentally sensitive industries. The findings of this study would therefore reveal how IR is taking shape across different sectors. Table I provides brief information on the selected cases.

#### 4.2 Sources of data

Companies can provide integrated information through a number of organisational reporting channels including, *inter alia*, annual reports, standalone sustainability reports, websites and/or special reports. The IIRC (2013a, p. 8) explicitly states that “an integrated report may be either a standalone report or be included as a distinguishable, prominent and accessible part of another report or communication”. In practice, there is

evidence that companies endeavour to provide integrated information in various reporting channels such as corporate websites as shown below:

For more information on the inputs, outputs and outcomes of our business model and integrated value chain, in relation to the six capitals model of value creation, which is the model recommended by the IIRC's Consultation Draft published in April 2013, refer to the video on [www.sasol.com](http://www.sasol.com) (Sasol 2013, Integrated Report, p. 11).

As a result, we explore how companies report and integrate multiple capital disclosures in various organisational reporting channels including annual integrated reports, standalone sustainability reports, websites, and online reports including media releases, press releases, newsletters and other reports. In so doing, we have undertaken a longitudinal analysis of four years (2011-2014). The selection of this period is largely influenced by two factors. First, IR developments have started in the tail-end of 2009 in South Africa (King III, 2009). As of 2011, the expectation is that companies had gained basic understanding of fundamental concepts of IR having already started their IR journey in the preceding year. Our initial analyses, which involved screening early years of integrated reports of a larger sample, showed that companies were growing into the IR concept. As a result, examining the years 2011-2014 allows us to track specific developments of IR practice, and in particular, multiple capitals disclosures. Second, the selection was limited by data availability and nature of discourse analyses which is effectively drawn from a small amount of data (Powell, 2007).

In total, we have examined 54 organisational reports over the four-year period, encompassing integrated reports, standalone sustainability reports, website contents and press/media releases. Table II summarises various sources of data and number of reports from each company.

4.3 Techniques for analyses

We have conducted discourse analyses based on thematic content analysis to closely engage with the content of organisational reports (Beattie *et al.*, 2004; Powell, 2007; Baker and Ellece, 2011). Given our interest to examine multiple capital disclosures within their specific context and how companies align the reports to exiting IR guidelines (Baker and Ellece, 2011), we explored specific grammars and languages used to report and integrate the capitals. In so doing, we have examined the entirety of organisational reports. The analyses were not limited to any particular section of the reports, but focused on how companies report and integrate multiple capitals, or components of a capital. In the case of websites, given their nature, the analyses were

**Table I.**  
Market capitalisation  
and industrial  
affiliation of research  
cases

| Companies                   | Market capitalisation of selected cases <sup>a</sup> |            |            |            | Industry          |
|-----------------------------|------------------------------------------------------|------------|------------|------------|-------------------|
|                             | Year 2011                                            | Year 2012  | Year 2013  | Year 2014  |                   |
| Royal Bafokeng Platinum Ltd | 1,115,299                                            | 1,119,732  | 934,128    | 1,008,940  | Mining            |
| Sasol Ltd                   | 33,558,923                                           | 26,911,939 | 27,748,115 | 38,799,537 | Oil and Gas       |
| Standard Bank Group Ltd     | 19,266,941                                           | 22,460,188 | 19,960,379 | 20,050,390 | Financials        |
| Truworths International Ltd | 4,941,169                                            | 5,029,608  | 3,989,258  | 2,978,867  | Consumer Services |
| Gold Fields Ltd             | 11,081,727                                           | 8,905,494  | 2,415,891  | 3,501,992  | Mining            |

**Notes:** <sup>a</sup> Data are obtained from OSIRIS Database; All currencies are in US\$ (thousands)

**Table II.**  
Sources of data

| Companies                   | Integrated reports | Sustainability reports | Online materials* | Websites | Total |
|-----------------------------|--------------------|------------------------|-------------------|----------|-------|
| Royal Bafokeng Platinum Ltd | 4                  | 0                      | 4                 | 1        | 9     |
| Sasol Ltd                   | 4                  | 4                      | 4                 | 1        | 13    |
| Standard Bank Group Ltd     | 4                  | 4                      | 4                 | 1        | 13    |
| Truworths International Ltd | 4                  | 2                      | 0                 | 1        | 7     |
| Gold Fields Ltd             | 4                  | 4                      | 3                 | 1        | 12    |
| Total                       | 20                 | 14                     | 15                | 5        | 54    |

**Note:** \*Online materials include media releases, press releases, newsletters and other reports

limited to recent disclosures. Our investigation involved searching for meaning in the context of both explicit and implicit disclosures and integration of the capitals, in particular, disclosures on interdependencies and trade-offs between multiple capitals, or components of a capital. We have taken cognisance from the discourse analyses of [Powell \(2007, p. 5\)](#) that:

[...] involved the examination and comparison of the nature, configuration and placement of information (narrative and non-narrative); consideration of the purpose, appearance and tone of language; identification of significant visual characteristics (i.e. size, colour, placement and frequency of non-narrative disclosures typesetting, layouts, use of borders and headings for narrative disclosures), and the emergence of dominant patterns, themes, or trends over the period of the investigation.

Given the nature of discourse analyses, we were reluctant to use a disclosure index because our intention was not to quantify the extent of multiple capital disclosures, but to identify specific themes and discourses on multiple capital disclosure practices following the adoption of IR practice. However, we were informed by a checklist developed based on normative understanding of existing IR guidelines as well as multiple capital frameworks. In developing the checklist, existing local and international IR guidelines were initially examined ([King III, 2009](#); [IRC, 2011, 2013a, 2013b](#)). In the initial process, we have specifically examined how local and international IR guidelines discuss the multiple capitals and, in particular, the interdependencies and trade-offs between multiple capitals as well as components of a capital. We have also reviewed previous multiple capital proposals ([Sigma Project, 2003](#); [Forum for the Future, 2009](#)). Based on normative understanding of existing IR guidelines, we were able to come up with a number of potential reporting narratives pertaining integration of multiple capitals. The research instrument is shown in [Appendix](#).

We have undertaken a two-stage discourse analyses. In the first stage, the analyses were conducted by two experienced researchers, who were involved in prior discourse analyses research work. In this stage, the analyses were limited to integrated reports, with both researchers reading all the integrated reports, each at the same time. The appearance of a particular narrative (as per the predefined checklist) in the reports was discussed in its reported context, tone of language, purpose and theme. After discussions, the two researchers would agree on how the issue of interest was reported, incorporated and integrated in the reports. In the second stage, once the scoring method became clear to both researchers, one of the researchers has extended the discourse analyses to other organisational reports to ensure consistency across other

organisational reports. Upon completion, the other researcher has conducted independent analyses to ensure reliability and validity of the findings. In case there were discrepancies, or a need for further analyses, the two researchers would collectively and independently undertake specific additional analyses. The ensuing section presents the research findings.

## 5. Research findings

Based on the research objectives, we discuss the research findings in three main subsections. The first section provides general account of IR practice, aimed to illustrate the nature of multiple capital disclosures in various organisational reporting outlets. Second, drawing from five impression management techniques, we illustrate how companies report and integrate multiple capitals, with a focus on the interdependencies and trade-offs between the capitals. In particular, we expose specific grammars and semiotic choices underpinning multiple capital disclosures. To frame the discussion, each major narrative is discussed within the context of existing multiple capital frameworks and IR guidelines. Finally, we discuss the implications of IR, and embedded multiple capitals frameworks, on organisational reporting practice over time. In so doing, we identify emerging themes in various organisational reporting channels.

### 5.1 Nature of multiple capital disclosures

To understand specific organisational reporting approaches used to report multiple capitals, we have examined how companies *conceptualise* and *integrate* multiple capitals in various organisational reports. The following subsections discuss these narratives in detail.

*5.1.1 Conceptualising the multiple capitals.* The research cases have all showed some form of awareness about the six capitals in their reports, and particularly in the *integrated reports*. The definitions given and classifications of the capitals are largely in line with those of existing multiple capital frameworks and IR guidelines. For instance, discussions on multiple capitals have evolved from five capitals, as initially proposed by [Sigma Project \(2003\)](#) and [Forum for the Future \(2009\)](#), to the six capitals classification, adding intellectual capital, as advocated in the [IIRC \(2013a\)](#) framework. However, companies adopt the capitals frameworks at face value, without explicitly disclosing how the proposed capitals are operationally relevant to organisational activities. We observe that the companies are not critical about the six capitals framework and are going with the flow, perhaps to avoid unfavorable attention:

As outlined on page 6, the Integrated Reporting Framework of the IIRC classifies the capitals upon which a business depends for its success as financial, manufactured, intellectual, human, social and relationship, and natural capital. These capitals are either increased, decreased or transformed through the activities of the business and should ultimately result in value creation ([Truworths International \(2014\)](#), Integrated Report, p. 15).

While the company, as shown in the above extract, cites the IIRC capitals framework and shows an understanding that the capitals are “increased, decreased, or transformed” through organisational activities, the company fails to provide specific illustrations on “how” the multiple capitals have increased, decreased or transformed through the company’s activities. Our analyses in the other research cases show a similar pattern. Most companies were also silent on how the capitals have increased, decreased and transformed during the reporting period. In addition, discussions on the

multiple capitals are largely restricted to the integrated reports, with companies hardly making explicit references to the capitals in other organisational reporting channels. Sasol and Standard Bank were exceptions, as they have started to extend discussions on the capitals to their 2013 and 2014 sustainability reports. Royal Bafokeng Platinum has also started to report the capitals in its website. However, the multiple capitals framework is not viewed as an overall organisational reporting philosophy but is seen as a specific metaphor in the integrated reports.

Another major observation is that companies, regardless of their industry, conform to similar reporting language in reporting the capitals. For instance, we expected companies in the extractive industries such as Sasol, Gold Fields and Royal Bafokeng Platinum to discuss, in great lengths, how their operations have increased, decreased and transformed natural and social capitals, whereas companies in the finance sector such as Standard Bank would focus on intellectual and relational capitals. However, while there are indications of the “industry effect” in certain disclosures, our observations show no substantial or systematic difference across companies in terms of how they conceptualise the multiple capitals collectively. This is due to the generic, rather than company specific, nature of multiple capital discussions.

During the analyses, however, we observed one particular scenario where one of the cases (i.e. Truworths International) made attempts to align the capitals to organisational operations. Truworths International reported that manufactured capital is not relevant to their operations in the year 2013:

Owing to the nature of our business, we do not at this stage believe that manufactured capital is relevant to our reporting (Truworths International, Integrated Report, 2013, p. 2).

Surprisingly, Truworths International reports manufactured capital in its integrated report the following year (2014) without elaborating the inclusion of manufactured capital, whether that was due to change in operations or evolving reporting practice:

A new concept introduced by the framework relates to the six forms of capital which impact on value creation and diminution in a business. These comprise financial, manufactured, intellectual, human, social and relationship, and natural capital. The Group’s activities and performance relating to these capitals are covered throughout the Report. Refer to the Capitals of Value Creation on page 6 for further insight (Truworths International, Integrated Report, 2014, p. 2).

We have undertaken further analyses in the company’s various reporting channels to investigate the sudden inclusion of “manufactured capital” in the company’s integrated report just a year after the company declared that “we do not at this stage believe that manufactured capital is relevant to our reporting”. The objective of this specific analysis was to find out whether the sudden inclusion of manufactured capital was due to changes in organisational operations, in particular whether the company has had a major acquisition and/or new product line in the year 2014. We have also searched for specific explanation (e.g. feedback from stakeholders) to understand the inclusion of manufactured capital from various organisational reports. However, we did not find any evidence to suggest that the organisational operations have significantly changed to justify inclusion of manufactured capital. There were also no specific explanations for the inclusion of this capital. While this may suggest the gradual understanding of companies in IR guidelines, and the multiple capitals in particular, it could also indicate the symbolic nature of IR practice and disclosure of multiple capitals.

Finally, we have examined the implications of IR on the length of various reports, particularly integrated and sustainability reports. Our intention was to discover whether the adoption of IR practice has reduced the number of pages of annual reports, and how this has influenced sustainability reports. As shown in [Table III](#), we found mixed observations as, for instance, Sasol and Gold Fields have reduced the length of their integrated reports over time, whereas Royal Bafokeng Platinum and Standard Bank have increased the number of integrated report pages. On the other hand, the length of Truworths International’s integrated report remained flat over time. In terms of sustainability reports (unreported), there is no evidence that the changes in the length of integrated reports of individual companies have had a notable impact on the length of sustainability reports. For instance, Standard Bank, in line with the increase in its integrated report pages, has increased the length of sustainability reports over time. In short, despite calls for concise reports in IR guidelines, we found no systematic evidence to suggest that the adoption of IR practice has reduced the length of organisational reports over time.

*5.1.2 Integration of the capitals.* During the analyses, we have specifically examined “how” the multiple capitals or components of a capital are incorporated and integrated in various organisational reporting platforms. The intention was to explore how the adoption of IR, and the embedded multiple capitals framework, have shaped reporting behaviour. In the analyses, we have looked into two dimensions. First, we explored a general level of incorporation of the capitals in the integrated and other organisational reports. Second, we examined how companies go beyond mere incorporation of the capitals in organisational reports and establish links between them. In particular, we analysed how the research cases report interdependencies and trade-offs between the capitals, searching for specific grammars in IR guidelines such as “increases, decreases, and transformations” of the capitals.

In terms of general level of incorporation, our analyses show that companies continue to report the capitals in silos, and there are limited attempts to integrate them. The integrated reports, and to a lesser extent sustainability reports, contain separate sections for individual capitals. The following example indicates the structure of a typical integrated report:

This decision has resulted in a saving of R750 million in the Group’s processing capital expenditure as detailed below (see page 59 of the Manufactured capital section of this report for more information on this strategy) and a 25 per cent improvement in our enterprise internal rate of return (IRR) ([Royal Bafokeng Platinum \(2013\)](#), Integrated Report, p. 45).

The above illustration is the norm of current IR practice, with companies continuing to discuss the capitals in separate sections rather than in an integrated manner. The

Table III.

Number of pages of integrated reports across companies

| Companies                   | Integrated reports: number of pages over time |      |      |      | Trend            |
|-----------------------------|-----------------------------------------------|------|------|------|------------------|
|                             | 2011                                          | 2012 | 2013 | 2014 |                  |
| Royal Bafokeng Platinum Ltd | 174                                           | 208  | 200  | 262  | Overall increase |
| Sasol Ltd                   | 153                                           | 150  | 130  | 130  | Overall decrease |
| Standard Bank Group Ltd     | 158                                           | 182  | 192  | 200  | Overall increase |
| Truworths International Ltd | 146                                           | 144  | 140  | 144  | Remained flat    |
| Gold Fields Ltd             | 172                                           | 172  | 166  | 125  | Overall decrease |

silo presentation of the capitals, notwithstanding, companies acknowledge the interrelatedness and interdependencies between multiple capitals:

Our report aims to explain how we use and affect the capitals. *We recognise that the capitals are interrelated and fundamental to the long-term viability of our business.* Intellectual capital is integrated into the human, financial and manufactured capitals as this better reflects the nature of our business as a financial services organisation (Standard Bank, Integrated Report, 2013, p. 2, emphasis added).

In addition, companies are also aware that there are potential “trade-offs” between the capitals, as shown in the following extraction:

The resources and relationships that are critical to our ability to create value are *all interdependent, which, at times, necessitate certain trade-offs between them.* In managing these trade-offs, we aim to minimise our negative impacts on the capital inputs and maximise positive outcomes, in the interests of all our stakeholders (Sasol, Integrated Report, 2014, p. 10, emphasis added).

Despite acknowledging the interrelatedness and trade-offs between the capitals, meaningful integration between the capitals is limited, with the disclosures being mostly descriptive in nature. While mere incorporation of the multiple capitals can be regarded as a development in its own right at this early stage of the IR journey, lack of actual “integration” among the capitals would nonetheless perpetuate traditional organisational reporting norms. For instance, companies hardly discuss how investment in human and natural capitals in previous years has transformed financial capital, and whether the increase in financial capital is a result of exploitation/preservation of natural resources and how such exploitations/preservations of natural capital have contributed to financial and other capitals. There are, however, few attempts where companies link reductions in electricity consumption (i.e. preservation of natural capital) to savings in financial capital:

During 2014, Cerro Corona achieved a reduction in diesel consumption intensity of 12 per cent (TJ/MT mined) against a target of 12 per cent and a reduction in electricity consumption intensity of 6 per cent (TJ/MT processed) against a target of 8 per cent, leading to savings of USA\$4.3 million in energy costs (Gold Fields (2014), Integrated Report, p. 62).

These disclosures, albeit very limited, reflect an emerging practice which recognises the interdependencies and trade-offs between multiple capitals following the adoption of IR practice. It also shows how disclosures on wider organisational performance, when viewed through the lens of multiple capitals, could lead to communication of organisational value creation, beyond economic value, as further discussed below.

*5.1.3 Multiple capitals and value creation.* In this section, we report how companies communicate organisational value creation/destruction discourses through the lens of multiple capitals and material issues. The “value to investors” emphasis, and the ongoing institutionalisation of narrowly conceptualised “value creation”, in current IR proposals has already been heavily criticised by a number of academic scholars (Milne and Gray, 2013; Brown and Dillard, 2014). In our analyses, we find that the “value to investors” rhetoric, and the business case approach, continues to significantly shape how companies conceptualise organisational value creation post the adoption of IR practice:

We believe that *ROE* ratio is the most relevant measure of our performance over time as it combines all our critical value drivers, including earnings growth and regulatory capital

measures, into a single metric that measures the success of our strategy and business performance (Standard Bank, 2014, Integrated Report, p. 15).

The ultimate test of our strategy is to deliver sustainable and superior financial performance over the long term, measured by earnings and ROE (Standard Bank, 2014, Integrated Report, p. 8).

The above narratives, which are only a representation of widespread organisational reporting practice, raise questions on the ultimate aim of multiple capital disclosures, given companies continue to view traditional financial measures (e.g. ROE) as “the most relevant measure of our performance over time as it combines all our critical value drivers”. At the risk of stating the obvious, perhaps the answer to this question is that disclosures on capitals other financial capital, which are ceremonial in nature anyway, are only symbolic gestures aimed to manage perceptions of non-financial stakeholder groups.

To be fair, companies attempt to link specific organisational decisions to wider value creation. In most cases, however, these decisions are economically, rather than socially/ environmentally, motivated, as shown below:

To align with the increasing trend towards online reporting and electronic access to information, we have elected no longer to print our Report and rather have made it available online. This has resulted in a meaningful cost saving and has also reduced our environmental impact. A preliminary report containing abridged financial statements has been mailed to all shareholders (Truworths International, Integrated Report, 2014, p. 3).

## 5.2 Impression management approaches

To explain the nature of multiple capital disclosures, we draw from five impression management techniques, namely, rhetorical manipulation, thematic manipulation, selectivity, emphasis in visual presentation and performance comparisons (Brennan *et al.*, 2009). The following sections discuss the research findings in the context of these measures.

*5.2.1 Rhetorical manipulation.* We closely examined the nature of multiple capital disclosures in the context of IR guidelines and multiple capital frameworks to identify the “form” and “substance” of the disclosures. We specifically analysed linguistic choices and the extent of rhetorical language in reporting multiple capitals. Our observations indicate that the contents of the reports are largely generic, dominated by symbolic narratives as opposed to substantive, company-specific disclosures. There is a preference to massage the capitals in a bypassing form, often in a descriptive approach. For instance, as mentioned earlier, there are limited attempts to discuss the capitals in the context of specific increases, decreases and transformations, as well as trade-offs between the capitals. In the rare cases when companies attempt to provide systematic multiple capital disclosures, the discussions are largely empty rhetoric peppered with some cursory terms in existing IR and multiple capital frameworks:

As an integrated hydrocarbon monetiser, we make a substantial net-positive contribution to most of the capital inputs. *However, we acknowledge that the key natural capital inputs to our business are non-renewable resources, which may impact negatively on human and social capital.* For example, by competing for resources such as water. Our strategic decision not to pursue coal-to-liquids growth, but to focus, instead, on gas as a bridge to a low-carbon

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economy, demonstrates our commitment to reducing the negative impacts of our operations on natural capital. We also invest significantly in reducing our own environmental footprint and in enhancing the environmental contribution of our products and processes (Sasol, Integrated Report, 2014, p. 10, emphasis added).

In the above extract, use of rhetorical language notwithstanding, the framing of disclosures that “the key natural capital inputs to our business are non-renewable resources, which may impact negatively on human and social capital” suggests that the company is not precise about the effects of its operations on human and social capitals. There is extensive use of some cursory IR terms, in the above case “natural, social and human capitals” in an empty rhetoric, to justify adoption of IR practice. The following extract follows a similar pattern:

We create value through our business activities using the *stocks of capital* available to us. Understanding our dependence on, and contribution to these forms of capital is fundamental to our ability to continue creating value over the long term. Ultimately, the most significant outcomes of our business activities are in their contribution to socioeconomic development, which we can only achieve through remaining profitable and staying relevant to the societies we serve (Standard Bank, Integrated Report, 2013, p. 6, emphasis added).

The terms such as “stocks of capital” are used loosely to establish conformity with existing multiple capital frameworks and IR guidelines. The research cases, which are highly regarded award-winning integrated reporters, provide limited disclosures on specific business activities that increase, decrease and transform the capitals. The companies are also silent on positive and particularly negative trade-offs between multiple capitals, or components of a capital. Interestingly, generic disclosures are widespread across different organisational reporting channels. The following narrative is stated in the website of Royal Bafokeng Platinum:

We assess our carbon emissions every year and use the results of these assessments to help us improve our carbon intensity. Not only is it socially responsible to make every effort to reduce our carbon intensity but it also makes good business sense as reducing our carbon intensity will mean improving our efficiency in terms of the amount of fuel and electricity we use to produce a tonne of concentrate (Royal Bafokeng Platinum, Website, November 8, 2015).

The adoption of IR practice, particularly in the context of highly regarded companies in a regulatory environment, has not really stimulated new organisational reporting practice and is mere continuation of the traditional, symbolic, corporate reporting norm. It is likely that this trend would continue unless proper accountability measures are in place.

*5.2.2 Thematic manipulation.* Thematic manipulation refers to organisational tendency to use simple illustrations and categorisations to communicate positive/negative information. Given the nature of multiple capital frameworks, we examined how companies discuss positive and negative trade-offs between the capitals, or components of a capital. In particular, we analysed specific grammars and themes used to report the capitals.

Our analyses, on the one hand, show that companies are increasingly conforming to existing multiple capital frameworks and IR guidelines by using specific terms such as “increases, decreases and transformations” of the capitals. However, use of these terms is only metaphorical, commonly cited in few pages of the integrated and, to lesser extent,

sustainability reports. To put this in perspective, observe how terms such as “increases, decreases and transformation” are used in the following extract:

The analysis of performance on the following pages aims to show how the Group’s financial capital has been increased, decreased or transformed through the operating and investing activities in the 2014 financial period, and how this is expected to contribute to longer-term value creation for our shareholders (Truworths International, Integrated Report, 2014, p. 48).

Despite the narrow conceptualisation of linking financial capital to longer-term value creation “for our shareholders” rather than to wider organisational value creation, our analyses of the “performance on the following pages” showed limited discussion on “how the Group’s financial capital has been increased, decreased or transformed” or even “how this is expected to contribute to longer-term value creation for our shareholders”. In essence, specific terms in existing IR guidelines are used at a superficial level, without providing substantive, company-specific, disclosures on how certain capitals have been increased, decreased or transformed.

There is also pervasive use of simple illustrations to discuss potential trade-offs between the capitals. Companies are remarkably silent on “how” increases, decreases and transformations of the capitals have had implications on organisational value creation/destruction. In addition to “increases, decreases and transformation”, there is also use of terms such as “inputs”, “outputs” and “outcomes” of the capitals in a limited and vague context:

Our business model centres on monetising hydrocarbon resources in developed and emerging countries. *Inputs* from each of *the six capitals* are crucial for the conversion of hydrocarbon reserves into product streams. These primary *outputs* include the liquid fuels needed to move people and goods, the chemicals widely used in industrial and consumer products, and the low-carbon electricity that increasingly powers our facilities and contributes to national power generation capacity. The effective production and delivery of our goods and services generates value for all our stakeholders (Sasol, Integrated Report, 2014, p. 9).

Despite cursory use of specific terms espoused in existing IR guidelines such as inputs, outputs as well as increases, decreases and transformations of multiple capitals, most disclosures lack substance. Taken together, we find that companies continue to use simple illustrations and categorisations of disclosures post the adoption of IR practice.

*5.2.3 Selectivity.* It is a longstanding corporate reporting tradition to promote positive disclosures, especially less regulated narrative disclosures, and obscure negative outcomes (Brennan *et al.*, 2009; Ahmed Haji, 2013; Williams and Adams, 2013). The IR initiative, however, encourages companies to disclose both positive and negative material information in the context of risks and opportunities and to communicate organisational value creation/destruction through the lens of multiple capitals (King III, 2009; IIRC, 2013a). In particular, the multiple capitals frameworks recognise interdependencies and potential trade-offs between the capitals: what is negative (decrease) in the context of a particular capital could have positive (increase/transformational) implications on other capitals.

Our results, however, show that companies continue to exaggerate positive information while ignoring negative outcomes following the implementation of IR practice. While certain negative disclosures are driven by the nature of corporate operations (e.g. mining companies disclose employee fatalities), positive disclosures still dominate various organisational reports. In particular, companies exaggerate positive

“highlights” on financial, social and natural capitals while obscuring negative “lowlights”.

In addition, companies are selective of the negative disclosures and hardly discuss such disclosures within the context of multiple capitals, particularly in terms of how certain negative incidents had decreased specific capitals or components of a capital:

The transformation of Gold Fields into a mid-tier producer has clearly had a profound impact on the profile of our workforce. The most obvious, and painful, has been the need to reduce the number of employees to bring down the cost base to a more sustainable level. This process started in 2013, when just over 711 employees were made redundant, and continued in 2014 with 1,309 retrenchments (8 per cent of our total workforce), mostly at our Ghanaian mines and at South Deep. With 8,954 employees and 6,486 contractors on our books at the end of 2014, we believe our human resource base is now close to where it should be in terms of numbers (Gold Fields, Integrated Report, 2014, p. 21).

In the above extract, Gold Fields justifies the decision to terminate employees as there has been a need to “bring down the cost base to a more sustainable level”. In other words, the decision, which had direct negative (diminution) impact on human capital, and potentially on social and relational capital, was made to increase the company’s financial capital. However, the framing of the disclosures is one of defending, even promoting, organisational reputation, rather than recognising how certain organisational decisions/actions decrease other capitals of intrinsic value. In addition, while companies disclose other forms of negative incidents such as employee strikes, turnover and fatalities, these negative incidents are downplayed, even ignored, with companies trying to focus on a related positive trend:

There were 29 significant transport-related incidents globally, similar to last year. The incidents this year resulted in seven fatalities, 20 injuries, five fires, 21 spillages and two extended road closures. Of these seven fatalities, five were drivers or occupants of other vehicles in road accidents and two were tanker drivers of third-party hauliers transporting [Company] products. Our transport incidents rate (measured as the number of significant incidents per 100 kilotons of product transported) improved to 0.092 from 0.094, our lowest ever recorded rate, in 2013 (Sasol, Integrated Report, 2014, p. 44).

While Sasol, in the above extract, discloses that there “were 29 significant transport-related incidents globally, similar to last year”, the framing of the disclosures is such that the negative incident is obscured, with the company, instead, promoting that “our transport incidents rate improved to 0.092 from 0.094, our lowest ever recorded rate, in 2013”. Sasol also ignores potential implications of this incident on its corporate reputation, social and relational capital and employees. The following extract further illustrates how companies continue to obscure negative information:

The annual turnover of permanent employees during the financial period was 15 per cent (2012: 14 per cent). Turnover at the senior and top management levels is below 10 per cent and the average length of service at these levels is over 14 years, ensuring sustainable performance and business continuity (Truworths International, Integrated Report, 2013, p. 99).

In the above extract, the turnover level actually increased from 14 to 15 per cent, but the disclosure is framed to focus on the:

Turnover at the senior and top management levels is below 10 per cent and the average length of service at these levels is over 14 years, ensuring sustainable performance and business continuity

without elaborating factors behind the increasing trend in employee turnover. In the following year's integrated report, Truworths International continues to obscure negative disclosures:

Truworths International is committed to investing in human capital to ensure sustainable performance and continued industry leadership. The Group employs over 10 500 permanent and flexi-time employees, and the annual turnover of permanent employees was 16 per cent compared to 15 per cent in 2013. During the period R87 million (2013: R83 million) was invested in training over 9,800 employees, with black staff accounting for 94 per cent of all trainees (Truworths International, Integrated Report, 2014, p. 42).

Following the previous reporting pattern, Truworths International underplays the increase in employee turnover from 15 to 16 per cent, which in fact has been increasing from previous years, and exaggerates investments in training, in particular, "with black staff accounting for 94 per cent of all trainees". The latter emphasis, which is in line with the South African government's imperative actions to reduce income inequality gap and enhance the lives of historically disadvantaged citizens (e.g. Broad Based Black Economic Empowerment (BBBEE), is an attempt to showcase the organisation's congruency with governmental initiatives.

*5.2.4 Emphasis in visual presentation.* Companies use three different approaches to emphasise narrative disclosures in organisational reports including visual emphasis, repetition and use of adjectives to reinforce selected themes (Brennan *et al.*, 2009). In particular, Brennan *et al.* (2009, p. 797) submit that "visuals such as graphic highlighting, headings, bulleted or numbered lists, colour, shading, logos, may foreshadow verbal discussion or reinforce key points". Building on these measures, we have examined "whether" and "how" companies use these impression management techniques following the adoption of IR practice. Our analyses show that companies use all three approaches in various organisational reports to report the capitals. For instance, in direct conformity with the IIRC (2013a) framework's input-process-output model of value creation, companies provide figures, tables and value creation charts to align the multiple capitals to organisational stakeholders, operations and business model.

However, the content of these "value creation" figures and tables is generic, with no or limited further elaboration. It is difficult to make sense of the contents of the value creation figures as companies incorporate random, unverified, values and narratives. We have also observed that there is use of charts and tables to establish links between multiple capitals, material issues and various stakeholder groups.

In addition, the research cases use repetition and reinforcement techniques to exaggerate positive performance while ignoring negative outcomes, with companies reproducing positive outcomes in various organisational reports. In terms of reinforcement techniques, some of the most commonly used techniques include bulleted and numbered lists which emphasise "achievements" in key financial and non-financial performance indicators. The following extract illustrates this trend where Sasol uses bullets to reinforce key points:

Ninth year of 10-year collaboration with 11 South African universities, in which we are investing R250 million.

Coached and mentored 393 workplace and leadership coaches.

Partnered with the Mozambican Ministry of Mineral Resources, and made 30 bursaries available for Mozambicans to undertake studies in engineering, science and geology.

Over the past four years, non-binding grants to the value of R16 million have been awarded to increase the pipeline of African, Indian and Coloured students at postgraduate level (Sasol, Integrated Report, 2014, p. 13).

In summary, use of various forms of visual presentation techniques to emphasise positive outcomes while obscuring, even dismissing, disappointment is pervasive in various organisational reporting channels following the adoption of IR practice. The ensuing section reports how companies are particularly selective of favourable comparisons and trends.

*5.2.5 Performance comparisons.* Building on prior evidence which has largely suggested that companies select comparisons, benchmarks and trends that display organisational performance most favourably (Brennan *et al.*, 2009), we examined the framing of multiple capital disclosure benchmarks and trends. Given the existing IR guidelines explicitly inform companies to balance positive and negative information (King III, 2009; IIRC, 2013a), we specifically explored how comparisons and trends of multiple capital disclosures are framed following the adoption of IR practice. Based on our analyses in various organisational reports, selection of positive trends dominates in most disclosures:

Scored 80 per cent (2013: 71 per cent) in the Carbon Disclosure Project and we were one of only nine companies in South Africa that were included on their Climate Performance Leadership Index A-list (Standard Bank, 2014, Integrated Report, p. 20).

There is also extensive use of tables to show trends of specific organisational performance which have effects on one or more capitals. In most cases, the tables, which are carefully incorporated in organisational reporting outlets, report improving trends. In the rare cases when comparisons and trends reveal disappointing outcomes, the framing of the disclosures is such that the negative outcome is obscured, discussed in a bypassing form, or captured in a table/graph with no further elaboration on how the organisation plans or intends to address the negative trend:

Many energy efficiency initiatives undertaken in 2013 have been implemented in the Rosebank building. While the dual operation of offices has obscured the energy savings achieved for 2013, we have managed to decrease our purchased electricity consumption by around 4 per cent compared to 2012 (Standard Bank, Sustainability Report, 2013, p. 93).

To reiterate, use of impression management techniques is pervasive in various organisational reporting channels following the adoption of IR practice, with companies continuing to exaggerate positive outcomes while ignoring how organisational activities affect multiple capitals, particularly capitals of intrinsic value.

### *5.3 Disclosure and integration of multiple capitals over time*

Our longitudinal analyses of organisational reports show three emerging themes in IR practice, and in particular multiple capital disclosures, over the four-year research period. First, one significant emerging theme is that the adoption of IR practice has shaped the language of organisational reports. Companies are increasingly aligning multiple capital disclosures, which are largely captured in the integrated reports, to existing multiple capital frameworks and IR guidelines. In

particular, there is a growing use of terms such as “increases, decreases, transformations, inputs, outputs, and outcomes” in the context of multiple capital disclosures. Companies are also increasingly acknowledging potential “trade-offs” between multiple capitals. In addition, discussions on multiple capitals were less explicit in the years 2011 and 2012. However, separate sections of the integrated and, to a lesser extent sustainability reports, are devoted for the capitals, with explicit headings of individual capitals, in the years 2013 and 2014. Despite the increasing alignment between multiple capital disclosures and existing IR guidelines, our analyses suggest that the disclosures are not integrated, with companies discussing capitals such as financial capital in the traditional context of operating profit, return on assets and financial position of the company. For instance, there are limited disclosures on how financial capital has been transformed to increase (decrease) other capitals. Discussions on other capitals follow a similar pattern. In a nutshell, while the adoption of IR practice has influenced the reporting language of integrated reporters, the quality of the reports has not really improved as companies continue to provide symbolic disclosures without meaningful discussion on the interdependencies and trade-offs between multiple capitals.

Second, we observe a growing tendency to assign values to multiple capitals, regardless of their economic/intrinsic nature. While the assigned values are metaphorical, and are not necessarily the output of actual valuation process, the practice of assigning values to the capitals is aimed to showcase conformity with existing IR guidelines. Capturing certain capitals in dollar values to indicate their “economic value”, rather than “intrinsic value”, is contested, as it relegates capitals of intrinsic significance to economic value, perpetuating current economic hegemony in the business environment (Barter, 2015; Coulson *et al.*, 2015).

Third and final theme is that companies continue to use multiple impression management techniques following the adoption of IR practice. In particular, the current discourse on multiple capital disclosures is one of defending, even promoting, organisational reputation, rather than recognising how organisational actions, or inactions, impact multiple capitals, particularly capitals of intrinsic value. Instead, companies exaggerate positive outcomes while obscuring, even dismissing, negative trade-offs between the capitals.

Given the regulatory oversight and the study’s focus on highly regarded, award-winning integrated reporters, we conclude that the adoption of IR practice, and the embedded multiple capital frameworks, has not really enhanced the quality of organisational reports. Hence, the findings of this study echo recent empirical observations in South Africa, and elsewhere, that IR practice is ceremonial, rather than substantive (Solomon and Maroun, 2012; Wild and van Staden, 2013; Melloni, 2015; Setia *et al.*, 2015; Ahmed Haji and Anifowose, 2016). The findings of this study are also consistent with prior studies which have concluded organisational reporting practice is motivated by considerations other than organisational accountability (Brennan *et al.*, 2009; Ahmed Haji and Mohd Ghazali, 2012; Williams and Adams, 2013).

## 6. Discussion and conclusion

The purpose of this study is to examine how the adoption of IR practice, and the embedded multiple capitals frameworks, has influenced organisational reporting practice following the introduction of an “apply or explain” IR requirement in South

Africa. In particular, we explore how companies report and integrate multiple capitals through the lens of organisational value creation/destruction discourses. We draw from five impression management strategies to explain specific grammars used to report the interdependencies and trade-offs between multiple capital disclosures in various organisational reports of highly regarded, award-winning integrated reporters in South Africa. Mindful of the division within academia regarding the substance and ideals of IR proposals (Brown and Dillard, 2014; Flower, 2015; Adams, 2015; Coulson *et al.*, 2015), our central aim is to provide early empirical insights on IR practice and, in particular, whether current practice meets the aspirations IR commentators have for it (Gleeson-White, 2014; Adams, 2015), or whether it perpetuates prior norms of organisational reporting rhetoric (Milne and Gray, 2013; Brown and Dillard, 2014).

Our findings first suggest that companies are increasingly conforming to reporting language espoused in existing multiple capital frameworks and IR guidelines over time. In particular, companies recognise that the multiple capitals are increased, decreased and/or transformed through organisational activities, and that there are potential trade-offs between multiple capitals, or components of a capital. However, despite some cursory use of specific IR terms in existing IR guidelines, the content of the reported information is generic, often vague, and lacks contextual meaning. Second, we observe that the discussions on multiple capitals are largely limited to integrated reports, with companies hardly making references to the interdependencies and trade-offs between the capitals in other organisational reporting channels, seemingly suggesting that the adoption of IR, and the embedded capitals framework, even in the context of highly regarded integrated reporters in a regulatory environment, is not internalised as an overall organisational reporting philosophy. Finally, we find that companies continue to use multiple impression management techniques such as use of rhetorical language to exaggerate positive outcomes while underplaying, even dismissing, negative comparisons and trends. In short, while there is evidence that the adoption of IR practice has influenced the reporting language of companies, we find, upon closer inspection, that the current IR practice lacks substance and falls short to reflect the aspirations IR commentators have for it.

The results of this study have a number of implications for regulatory authorities, public and private sector organisations as well as academic researchers. First, the results inform local and international regulatory authorities about how IR practice is taking shape over time, particularly within the context of highly regarded integrated reporters in a regulatory environment. Our observations show evidence that, despite the regulatory oversight in South Africa – and the embedded assurance provisions in King III – companies continue to provide symbolic disclosures, with little or no substantive information on how organisational activities create/destroy shared value. We therefore call for specific accountability measures to be developed in a more stringent mandatory setting, rather than the existing “apply or explain” requirements. In particular, we advocate for substantive assurance mechanisms beyond current assurance provisions in non-financial reporting. The existing assurance provisions have fundamental flaws, not because assurance providers report to, and are hired by, company management, but because assurances in non-financial disclosures are remarkably limited. Albeit organisational reporting

and accountability measures should not entirely hinge on assurances and regulatory oversight, we advocate for a uniquely intrusive inspection and verification disclosure process beyond the current narrowly framed governance, reporting and assurance provisions. Otherwise, we are unlikely to see substantial improvements in organisational reporting practice. Unless specific accountability measures are implemented both at the regulatory as well as organisational levels, the sceptics of IR agenda would emerge right to question the actual worth of IR practice (Milne and Gray, 2013; Brown and Dillard, 2014; Flower, 2015).

Second, our study which specifically focused on highly regarded, award-winning, integrated reporters, draws the attention of regulatory bodies as well as users of corporate reports to a growing number of rating agencies of corporate governance and reporting practices. The rating agencies, which draw significant conclusions about the quality of organisational reports without in-depth analyses and contextualised evidence, do not just encourage symbolic reporting, but given their ratings are relied upon by various corporate information users for reliability and credibility purposes, are likely to mislead users of corporate reports. The increasing number of such rating agencies should be subjected to scrutiny by relevant regulatory authorities to ensure the quality of their ratings and enhance the decision-making of corporate information users. Finally, in terms of theoretical implications, given the pervasive use of multiple impression management techniques in various organisational reports, this study supports the notion that corporate disclosure practices should be examined through the lens of multiple theoretical perspectives to enhance our understanding of the nature of organisational reporting practice (Brennan *et al.*, 2009; Williams and Adams, 2013).

The preceding implications notwithstanding, we acknowledge a number of limitations. First, despite our attempts to provide an in-depth qualitative analysis of “how” IR, and the embedded multiple capital frameworks, has influenced organisational reporting practice, this study does not explore “why” aspects of current IR practice. More in-depth work is required to explore the implications of IR practice on organisational reporting and thinking, particularly studies complementing how and why research questions. Second, given the newness of the IR agenda, our findings are only applicable to IR practice at its developmental stage. There is therefore an opportunity for further research to substantiate the observations of this study through longitudinal analyses of organisational reports. Finally, given our research question and the nature of discourse analyses, we have only examined five cases that have shown illustrations of the research question. In addition, the evidence is drawn from a regulatory IR environment. Further research, involving larger samples from diverse geo-political settings, is needed to enhance our understanding of the implications of IR on organisational reporting practice.

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Table AI.  
Research instrument

| Appendix                                           |                                                                                                                                                     |
|----------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------|
| No.                                                | Checklist                                                                                                                                           |
| <i>The stock and flow of capitals</i>              |                                                                                                                                                     |
| 1                                                  | Increases and decreases of capitals                                                                                                                 |
| 2                                                  | Transformation of the capitals                                                                                                                      |
| 3                                                  | Activities that increase, decrease and/or transform the capitals                                                                                    |
| 4                                                  | Inputs, outputs, activities and outcomes of the capitals                                                                                            |
| 5                                                  | Status of overall capitals                                                                                                                          |
| <i>Categories and descriptions of the capitals</i> |                                                                                                                                                     |
| 6                                                  | Financial capital                                                                                                                                   |
| 7                                                  | Manufactured capital                                                                                                                                |
| 8                                                  | Intellectual capital                                                                                                                                |
| 9                                                  | Human capital                                                                                                                                       |
| 10                                                 | Social and relationship capital                                                                                                                     |
| 11                                                 | Natural capital                                                                                                                                     |
| 12                                                 | The interrelatedness and interdependencies between the capitals                                                                                     |
| 13                                                 | Positive trade-offs between the capitals, or components of a capital                                                                                |
| 14                                                 | Negative trade-offs between the capitals, or components of a capital                                                                                |
| 15                                                 | The value creation/destruction process and the capitals                                                                                             |
| 16                                                 | A holistic picture of the combination, interrelatedness and dependencies between the factors that affect a firm's ability to create value over time |
| <i>Material issues</i>                             |                                                                                                                                                     |
| 17                                                 | The materiality determination process                                                                                                               |
| 18                                                 | Involvement and role of stakeholders in the identification of material issues                                                                       |
| 19                                                 | Classification of material issues into positive and negative matters                                                                                |
| 20                                                 | Discussion of material issues in the context of the capitals                                                                                        |

**Corresponding author**  
Abdifatah Ahmed Haji can be contacted at: [fitka7@hotmail.com](mailto:fitka7@hotmail.com)